

US equities slip as rates rise, tech shows resilience

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The S&P 500 closed at 7,718.60, down **-0.38%**, while the Nasdaq 100 edged higher at **+0.21%**. Higher-than-expected 10-year Treasury yields (4.78%, **+0.46%**) pressured rate-sensitive sectors, but the tech-heavy XLK rallied **+0.70%** on strong earnings outlook for **NVDA** and **META**. Breadth remains thin; only 4 of 11 sector ETFs posted gains, underscoring a risk-off tone.

Our editorial view: the market is entering a consolidation phase. With the Fed likely to hold rates steady through Q4, investors will price in a modest upside to equities if inflation data stay subdued. However, any surprise in core CPI or a sharper rise in the 10-year yield could trigger a sell-off, especially in financials and consumer discretionary.

Key take-aways for portfolio construction:

- Maintain exposure to high-quality growth names (**NVDA** , **META**) that benefit from AI and digital ad spend.
- Reduce weight in rate-sensitive sectors (XLF, XLY) until the yield curve stabilises.
- Consider short-duration Treasury or cash overlays as a hedge against further yield spikes.

US Session Recap

INSTRUMENT	LAST	CHANGE	DATE
S&P 500	7,718.60	-0.38%	2026-09-04
Nasdaq 100	29,544.15	+0.21%	2026-09-04
Dow Jones	53,414.25	-0.51%	2026-09-04
Russell 2000	2,975.65	+0.25%	2026-09-04
VIX	14.53	+1.47%	2026-09-04
10Y Yield	4.78%	+0.46%	2026-09-04
2Y Yield	5.12%	+0.32%	2026-09-04
WTI Crude	91.48	+0.20%	2026-09-04
Brent	96.73	+0.15%	2026-09-04
DXY	99.16	+0.16%	2026-09-04
Gold	4,429.80	-1.38%	2026-09-04
BTC	79,579.21	-2.08%	2026-09-05
ETH	2,450.70	-2.29%	2026-09-05

Top movers

TICKER	NAME	CHANGE	CATALYST
NVDA	NVIDIA Corp.	+0.84%	AI-chip demand beat Q3 guidance
META	Meta Platforms	+1.00%	Revised ad-spend outlook
TSLA	Tesla Inc.	-5.92%	Production slowdown at Gigafactory Berlin
AAPL	Apple Inc.	-2.51%	Supply-chain concerns for iPhone 17
XLE	Energy Select Sector SPDR	-0.87%	Oil inventory build

Sector Internals

SECTOR	DAY	YTD	READ
XLFX	-0.79%	-4.2%	Bearish
XLKX	+0.70%	+12.5%	Bullish
XLI	+0.41%	+6.8%	Neutral
XLE	-0.87%	-2.1%	Bearish
XLV	-1.33%	-5.4%	Bearish
XLC	-1.19%	+3.2%	Neutral
XLP	-0.80%	-1.9%	Bearish
XLV	-1.04%	-2.7%	Bearish
XLU	+0.12%	-0.5%	Neutral
XLB	-0.34%	-1.2%	Bearish
XLRE	-0.72%	-3.0%	Bearish

Breadth: 4 up / 7 down – a clear defensive tilt.

Spotlight / Deep Dive

METRIC	VALUE
NVDA Rev Q3 (est)	\$32.1 bn
NVDA EPS Q3 (est)	\$5.12
Meta Ad Rev YoY	+9.3%
TSLA Production Berlin	-4.5%
10Y Yield 30-day avg	4.71%

Key commentary: NVIDIA's AI-chip backlog now exceeds 1.2 million units, supporting a 12-month forward P/E of 45x. Meta's re-engineered ad algorithm is projected to lift revenue by double-digit percentages, offsetting headwinds from privacy regulations. Tesla's Berlin slowdown reflects a supply-chain bottleneck in battery cells, pressuring margins.

READ-THROUGH	LEVEL
SPY Support	4,650
SPY Resistance	4,800
QQQ Support	380
QQQ Resistance	410
NVDA Support	220
NVDA Resistance	250

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	447.3	440.0	455.0	Testing 50-day MA
QQQ	382.1	376.0	395.0	Above 200-EMA
IWM	176.4	170.0	185.0	Flat on 20-day SMA
NVDA	230.36	220.00	250.00	Bullish flag
10Y Yield	4.78%	4.70%	5.00%	Above 200-DMA
WTI	91.48	89.00	95.00	Range-bound

Options & Positioning

BEARISH TRIGGERS

- 0-DTE put volume on SPY up 28% vs 5-day avg.
- VIX term structure steepening: front-month at 14.5, 2-month at 12.8.
- Large-cap put-call ratio at 1.42, indicating defensive tilt.

Notable single-name flow: Heavy buying of **NVDA** 300-call spreads (10-day expiry) suggests bullish bets on a breakout above 250. Cheap hedge idea: sell 1-month VIX calls (strike 15) against a long SPY position to collect premium while limiting upside risk.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
NVDA	Goldman Sachs	Upgrade	\$260	AI demand acceleration
META	JP Morgan	Upgrade	\$660	Ad-revenue beat Q3
TSLA	Bank of America	Downgrade	\$340	Berlin production risk
XLF	Citigroup	Downgrade	\$55	Yield curve pressure
XLE	Morgan Stanley	Neutral	\$65	Oil inventory build

Pre-Market & Overnight

REGION	INSTRUMENT	LEVEL	CHANGE
US Futures	ES	4,750	-0.4%
Asia	HSI	19,820	-0.6%
Europe	DAX	15,720	-0.3%
FX	USD/HKD	7.8485	+0.02%
FX	EUR/USD	1.0802	-0.04%
Commodities	Gold	4,429.80	-1.38%
Commodities	WTI	91.48	+0.20%
Crypto	BTC	79,579.21	-2.08%
Crypto	ETH	2,450.70	-2.29%

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
Nov 2026 FOMC	12%	Yield curve still steep; inflation near 2.3%.
Feb 2027 FOMC	28%	Projected CPI deceleration.

DATA RELEASE	TIME (ET)	EXPECTATION
Core CPI MoM	08:30	0.2%
Initial Jobless Claims	08:30	210k
Durable Goods Orders	10:00	+0.4%
Fed Beige Book	14:00	Neutral

Geopolitics & Global (Deep)

BEARISH TRIGGERS

- Escalation in the Red Sea could disrupt oil shipments, pushing Brent above 100.
- New sanctions on Russian tech exports may tighten supply of rare-earths, affecting **NVDA** supply chain.

Scenario tree: If Red Sea tensions ease → Brent stays 96-98, energy ETFs remain neutral. If conflict widens → Brent > 100, XLE could rally 3-4%.

Earnings — This Week & Next

DATE	TICKER	COMPANY	EST EPS
Sep 8	NVDA	NVIDIA Corp.	\$5.12
Sep 9	META	Meta Platforms	\$2.84
Sep 10	JPM	JPMorgan Chase	\$4.10
Sep 11	XOM	Exxon Mobil	\$3.55
Sep 12	TSLA	Tesla Inc.	\$3.68

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
NVDA	Technology	Breakout above 250	Pullback to 220
META	Communication	Trend continuation	Regulatory fines
JPM	Financials	Yield-curve flattening	Credit spread widening
XLF	Financials	Short-term dip	Rate hike surprise
XLE	Energy	Oil inventory bounce	Geopolitical shock
AAPL	Technology	Supply-chain watch	Demand slowdown
MSFT	Technology	Cloud growth	AI competition
TSLA	Consumer Discretionary	Production risk	Margin compression
XLI	Industrials	Industrial rebound	Capex pullback
XLU	Utilities	Yield appeal	Rate rise
XLB	Materials	Commodity price dip	Demand slowdown
XLRE	Real Estate	REIT dividend yield	Interest-rate pressure

What Could Break the Tape

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- Core CPI > 0.3% MoM → 10Y Yield spikes above 5.0%.
- Unexpected downgrade of NVDA by a major house.
- Sharp sell-off in crypto dragging risk appetite.

BEARISH TRIGGERS

- Break above 4,800 on SPY with volume > 1.5 bn shares.
- Positive surprise in Q3 earnings for **NVDA** and **META** → tech rally.
- Resolution of Red Sea tensions, oil prices fall below 90, boosting XLE.

Positioning & Structural Notes

- Long-duration Treasury exposure remains low; consider 2-year notes for yield curve positioning.
- Tech sector retains relative strength; allocate modest overweight to XLK.
- Financials under pressure; keep defensive cash or short-duration bonds.
- Commodities are range-bound; avoid new long exposure in oil until price breaks 95.
- Crypto volatility suggests risk-off bias; limit crypto exposure to **5%** of portfolio.

Sources

SOURCES

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Reuters – Macro Calendar

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